

Financing a lifestyle that you can't afford with credit cards will just serve to get you into debt. Take a look at how expensive a simple \$50 textbook becomes if you purchase it with your credit card and pay over time.

By Interest Rate and Number of Years

I bet you never realized a textbook could cost so much! A \$50 textbook would end up costing \$4,579 with accumulated interest at a 22.8 percent interest rate. Wouldn't it have been

Finance Period	10.8%	13.8%	16.8%	19.8%	22.8%
1 year	\$55.68	\$57.35	\$59.08	\$60.85	\$62.67
4 years	\$76.87	\$86.56	\$97.45	\$109.68	\$123.41
5 years	\$85.59	\$99.29	\$155.15	\$133.48	\$154.68
10 years	\$146.53	\$197.19	\$265.17	\$356.34	\$478.49
15 years	\$250.83	\$391.59	\$610.66	\$951.26	\$1,480.21
20 years	\$429.39	\$777.65	\$1,406.31	\$2,539.46	\$4,579.04

*Source: "Credit Cards on Campus," Consumer Federation of America survey

cheaper to have paid cash? A good rule of thumb is "If you don't have the cash, you can't afford it."

Of course there are things that you'll need to finance, like a car or house, but definitely not a sweater, dinner, or a textbook. Paying with credit is easier than paying with cash. Cash seems more real; you have the tendency to be more conservative since it is "real" money as opposed to "plastic." If you do buy on plastic, try and pay off the charges in full when you get the bill. Under all circumstances, resist paying only the minimum payment. The minimum payment trap might cause you to end up paying \$4,579 for a \$50 textbook.

